

Social Norms, Bargaining, And Institutions Shaping Gendered Work

Gender Study — Week 5

Teaching deck draft

Central question

- How do norms, bargaining power, and institutions shape gendered work even when prices and formal rules change?
- Norms matter for labor when they change participation, hours, specialization, search, commuting, competition, promotion, retention, or job quality.
- Week 5 discipline: treat norms as identifiable mechanisms, not residual explanations.

Why norms and institutions are labor objects

- They shift feasible jobs, acceptable hours, mobility, bargaining positions, resource control, and authority.
- They alter responses to wages, childcare, leave, safety, transparency, and legal rights.
- The same average gap can come from prices, law, selection, norms, bargaining, or their interaction.

Week 2 → Week 5 bridge

Week 2 object	Week 5 mechanism
Household allocation	bargaining, control over resources, threat points
Care work and child penalties	caregiver norms and acceptable-hours expectations
Fertility timing	work-family beliefs and marriage-market expectations
Labor supply	wage response filtered through sanctions and household rules

Bridge from Weeks 3 and 4

- Week 3: aspirations, field choice, and early careers can respond to anticipated marriage-market and work-family norms.
- Week 4: firms reward self-promotion, competition, social access, long hours, mobility, and negotiation.
- Week 5 connects those worker and firm margins to informal institutions and bargaining power.

Formal versus informal institutions

Institution type	Examples
Formal	law, property rights, contract rules, leave, tax, childcare, pay rules, legal protection
Informal	breadwinning, caregiving, acceptable jobs, mobility, competition, self-promotion, authority

- Formal rules can codify norms or relax them.
- Informal expectations can make formal rights more or less usable.

Five claims to keep separate

- ① Price claim: wages, childcare, taxes, or commute costs moved.
- ② Legal claim: a formal rule permits, prohibits, or protects behavior.
- ③ Selection claim: people with different preferences or constraints sort.
- ④ Norm claim: expectations, sanctions, identity, or coordination change payoffs.
- ⑤ Bargaining claim: threat points or control over resources change allocation.

Methodological taxonomy of norms

Norm channel	Mechanism	Margin
Identity / preference	utility cost of violating role	hours, specialization
Sanction belief Coordination	perceived approval, reputation, status stable social equilibrium	search, work entry education, marriage, jobs
Bargaining	threat point and resource control	labor supply, savings
Embedded in rules	formal institution carries norm	rights, mobility, pay

A household surplus object

$$S(h_w, h_m, q) = U_w(c, \ell_w, q) + U_m(c, \ell_m, q) - \kappa N(h_w, h_m, q; g) - C(h_w, h_m, q)$$

- $N(\cdot; g)$: norm-violation cost under gendered rule g .
- κ : salience or expected sanction cost.
- A higher female wage can have a muted response if the norm penalty is high.

Bargaining with a gender margin

$$\max_{h_w, h_m, q} [V_w(h_w, h_m, q) - T_w(g, F)]^{\theta_w} [V_m(h_w, h_m, q) - T_m(g, F)]^{\theta_m}$$

- $T_w(g, F)$: woman's threat point under norms g and formal institutions F .
- Norms can lower threat points through stigma, mobility limits, or weak control over earnings.
- Formal institutions can raise threat points through rights, accounts, protection, and transfers.

Breadwinner, caregiving, and marriage-market norms

- Breadwinner norms can affect relative income, labor supply, and home production.
- Caregiving norms can make long hours or uninterrupted careers socially costly.
- Marriage-market norms can alter education, field choice, ambition, and early career investments.
- The observed margin must be named: earnings share, hours, reported ambition, or investment.

Misperceptions and local sanctions

- Workers and spouses may privately support women's work but misperceive community approval.
- Information treatments identify belief-about-acceptability channels when job-search behavior moves.
- Status and reputation concerns can change labor supply even without a wage or legal shock.
- Key diagnostic: does the design shift beliefs, sanctions, or prices?

Competition, authority, and self-promotion

- Competitive job design can change who applies before the firm evaluates anyone.
- Authority and leadership norms shape self-promotion, negotiation, visibility, and willingness to compete.
- Overwork norms interact with caregiving norms in professional careers.
- Entry, promotion, and retention are distinct margins.

Acceptable jobs, commuting, and mobility

- Mobility constraints can reflect safety, household bargaining, local reputation, or acceptable-job norms.
- Revealed-preference search data can estimate wage-commute tradeoffs.
- A commute gap is not automatically a taste parameter.
- Ask what information is observed: offers, applications, accepted jobs, commutes, wages, or household constraints.

Formal laws interacting with norms

- Gendered laws can restrict employment, mobility, property, entrepreneurship, or workplace rights.
- Formal equality can be weak if enforcement is not credible or reporting is costly.
- Legal rights can also change informal expectations by changing feasible behavior and threat points.
- Cross-country legal evidence must be read with enforcement and norm interaction in mind.

Empirical designs and what they identify

Design	Identifying variation	Best observed margin
Second-generation / ancestry	origin-linked norms in common destination	work, fertility, beliefs
Historical origins	long-run production or institutions	persistence of gender roles
Norm intervention	randomized information about support	job search, take-up, beliefs
Household bargaining	resource control or threat-point shift	labor supply, allocation
Job-entry experiment	compensation or public/private elicitation	applications, ambition
Commuting/search	revealed job choices	commute-wage tradeoff
Legal institutions	law variation over time/countries	participation, rights, enforcement

What each anchor paper teaches

Anchor	Labor margin	Mechanism lesson
Fernandez–Fogli; Alesina–Giuliano–Nunn	work, fertility, roles	culture and persistence
Bursztyn–Gonzalez–Yanagizawa–Drott	job matching	misperceived acceptability
Bertrand–Kamenica–Pan	earnings, hours, home production	breadwinner identity
Bursztyn–Fujiwara–Pallais	ambitions, investment	marriage-market incentives
Flory–Leibbrandt–List	applications	competitive job design
Le Barbanchon–Rathelot–Roulet	search, commuting	mobility tradeoffs
Hyland–Djankov–Goldberg	workforce outcomes	formal legal institutions

- Reproduce: synthetic norm-misperception information exercise inspired by Bursztyn, Gonzalez, and Yanagizawa-Drott.
- Diagnose: classify outputs as beliefs, sanctions, bargaining, search, or selection.
- Transfer: synthetic relative-income threshold exercise inspired by Bertrand, Kamenica, and Pan.
- Optional memo: financial control or commuting revealed-preference designs.

Bridge to Week 6 policy incidence

- Week 5: norms are rules of conduct, bargaining environments, and informal institutions.
- Week 6: policies change prices and formal rules, then interact with those norms.
- Childcare, leave, taxation, quotas, transparency, safety, and protection can all have norm-mediated incidence.

Takeaways

- Norms are not a catch-all residual; they are mechanisms with empirical signatures.
- Separate norms from prices, law, selection, bargaining, and firm design.
- Formal and informal institutions interact through feasibility, enforcement, information, and threat points.
- Strong evidence names the variation, the margin, and the specific channel.